

STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mark Anderson and Jo Manley

Of

Unit 806, 19 Queens Road

MELBOURNE VIC 3004

Prepared:

May 2026

By your Adviser:

Tristan Biro B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (SoA) is an important document. It provides you with information about our advice so you can make a decision about implementing the advice. It should be read in conjunction with relevant Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us if you have any questions, if we have omitted or incorrectly understood any relevant circumstances, or when you are ready to implement the recommendations.

Mr Mark Anderson and Ms Jo Manley

Address to be confirmed

Dear Mark and Jo,

I am pleased to enclose your Statement of Advice (SoA).

This document has been prepared following our discussions regarding your retirement planning, staged inheritance receipts, superannuation, investment structures, capital gains tax planning, family trust and testamentary trust considerations, estate planning and long-term family wealth strategy.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect your current position, goals or objectives, please advise us immediately so that we can make the necessary changes.

The recommendations in this SoA are valid for 30 days from the preparation date. If your circumstances change before implementation, or if you do not act on them within that period, the advice may no longer be appropriate and should be reviewed before taking action.

Yours sincerely,

Tristan Biro

B Bus (Acc), Dip FS (Fin Plan)

Authorised Representative No 324798 of Pareto Group Pty Ltd

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Before we begin

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date. The taxation, superannuation and family trust comments have been drafted having regard to the pre-1 July 2026 environment and should be reconfirmed prior to implementation.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately.

Limitations of our advice

We do not provide legal, taxation, trust deed drafting, direct property purchase or general insurance advice. Where appropriate, the recommendations should be reviewed with your accountant, solicitor and/or tax lawyer before implementation.

Product selection

When preparing your advice, we considered investment and superannuation products consistent with Pareto Group's Approved Product List and the need for flexibility while your inheritance, property and tax planning position is clarified.

Introduction

You are entitled to receive a Statement of Advice whenever we provide personal financial advice. This SoA records the personal financial advice provided to you and the basis on which the advice has been given.

The Scope of Our Advice

- Superannuation advice and pension phase planning for Mark.
- Concessional and catch-up contribution strategy.
- Tax minimisation and capital gains tax planning.
- Inheritance planning and coordination of staged distributions.
- Family trust and testamentary trust considerations.
- Investment structure and balanced portfolio strategy.
- Estate planning and binding superannuation nomination considerations.
- Cash flow, lending, offsets and family loan documentation.

Our Investment Recommendations

Investment recommendations will be based on your balanced investor profile, your need for tax-effective structures, and the timing of inheritance receipts, property decisions and superannuation contributions. Any product recommendations will be subject to the relevant Product Disclosure Statements.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Tristan Biro on (03) 9596 5111.

The Planning Process

Mark and Jo, financial planning is a process to help you reach both your personal and financial goals and objectives. The key issue in your circumstances is sequencing: inheritance, superannuation, property, tax and estate planning decisions should be coordinated together rather than dealt with in isolation.

- Confirm your personal goals and lifestyle objectives.
- Quantify available resources and expected inheritance distributions.
- Identify tax, superannuation and estate planning opportunities.
- Develop a balanced investment strategy aligned to future cash flow needs.
- Review the strategy as legislation, family circumstances and investment markets change.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

- Coordinate staged inheritance distributions expected to total approximately **\$4.35 million for your family share, with the balance expected around June 2027.**
- Move Mark's superannuation from accumulation phase to pension phase when we deem appropriate, given Mark retired at age 64 and has met a condition of release.
- Review the **Rye property** and **model capital gains tax outcomes** before any sale decision.
- Assess whether family trust structures or corporate structures are going to be the most appropriate under current tax law & post 1 July 2026.
- Confirm **catch-up concessional contribution** opportunities before older unused caps expire.
- Review existing Equip Super and North structures and determine whether an advised platform would better support ongoing investment oversight.
- Confirm cost bases for inherited CBA shares, Westpac shares and Jo's JB employee share arrangements before any material sale or vesting event.
- Potentially update Wills, binding nominations and estate planning arrangements to protect Eliza and Tom.
- Plan for the return of funding arrangement relating to John and Olga's retirement unit.

Current position summary

Area	Details
Family	Mark Anderson, Jo Manley, Eliza aged 10 and Tom aged 13
Inheritance	Staged receipts including 10% last year, 7.5% in June, approximately \$150,000 recently, with the balance expected around June 2027
Superannuation	Equip Super – Mark - \$1.4 million and Jo's North balance approximately \$367,000 with recent performance around 9%
Property	Principal Place of Residence - Queens Road Melbourne – circa \$2 million value owned outright & in Marks name . Rye property is estimated at approximately \$1 million with estimated purchase cost around \$500,000, Jointly owned so Joint CGT to come when sold post July 1.
Shares	CBA, Westpac Shares approx. \$200K and Jo's JB employee shares/options, including approximately 1,000 shares vesting in August 2026
Loans	Facilities approximately 5.74%
Family arrangement	John and Olga's retirement unit funded by you, approximately \$500,000, with expectation of repayment

Planning - Personal Details

Personal Information

During our discussions and from the information you have provided, your personal details can be summarised as follows:

Personal Details	Mark Anderson	Jo Manley
Title	Mr	Ms
First Name	Mark	Jo
Surname	Anderson	Manley
Date of Birth	23/11/1961	21/07/1976
Age	65	49
Marital Status	DeFacto	DeFacto
Children	Eliza (10) and Tom (13)	Eliza (10) and Tom (13)
Employment Status	Retired at age 64	Part-time employment, 2-3 days per week, with potential to increase

Planning - Personal Risk Profile

Your Investor Risk Profile

Based upon our discussions and pending completion of the investor risk profile questionnaire, it is understood that you are balanced investors.

- A balanced investor places emphasis on long-term capital appreciation, but with meaningful exposure to defensive assets to reduce volatility.
- A balanced portfolio typically requires an investment time horizon of five to seven years or longer.
- The final portfolio should reflect the staged nature of the inheritance, possible property sale timing and future retirement income needs.

Asset Class	Indicative Balanced Allocation
Australian Shares	27%
International Shares	29%
Fixed Interest	26%
Property	12%
Cash	6%

Planning - Recommendations

Strategy Recommendation

Reasons For Seeking Advice:

- You are in a major transition phase involving Mark having retired at age 64, staged inheritance receipts, property decisions and superannuation/pension phase planning.
- You require coordinated advice on the most tax-effective structure for anticipated inheritance monies and existing investment assets.
- You want to understand whether a testamentary trust is available and whether a family trust should be considered under the current pre-1 July 2026 tax environment.
- You want to model CGT on the Rye property and shareholdings before triggering tax events.
- You want to preserve capital, create a reliable long-term investment structure and improve estate outcomes for Eliza and Tom.
- You wish to improve the family home & want to discuss & plan for the affordability of a move.
- Mark has very recently been diagnosed with dementia & we will try & help with any potential claim under old insurance under Equip Super.

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on income generated by those investments. The 2025-26 resident personal tax rates are as follows, excluding Medicare levy:

Taxable Income	Tax on this income
\$0 - \$18,200	Nil
\$18,201 - \$45,000	16c for each \$1 over \$18,200
\$45,001 - \$135,000	\$4,288 plus 30c for each \$1 over \$45,000
\$135,001 - \$190,000	\$31,288 plus 37c for each \$1 over \$135,000
\$190,001 and over	\$51,638 plus 45c for each \$1 over \$190,000

*** The above rates do not include the Medicare levy of 2.0%.**

Environment	Tax Rate
Superannuation in accumulation phase	15% on investment earnings
Transition to retirement / pre-retirement pension phase	Generally 15% until a full condition of release is met
Account based pension / allocated pension phase	Generally 0% on investment earnings within transfer balance cap limits

Tax on superannuation earnings, contributions and income streams

Item	Non-superannuation	Super accumulation phase	Super pension phase after age 60
Salary / pension income	Marginal tax rate plus Medicare levy	N/A	Tax free for pension payments from taxed super funds
Super contributions	N/A	15% contributions tax, potentially 30% for higher income earners	N/A
Investment income	Marginal tax rate plus Medicare levy	Maximum 15%	Generally tax free
Capital gains	Marginal tax rate with 50% CGT discount where eligible	10% effective tax rate where asset held more than 12 months	Generally tax free within pension phase limits

Superannuation Contribution Limits

Contribution caps should be reconfirmed immediately prior to implementation. Based on the pre-1 July 2026 environment, the key caps relevant to your planning include:

Contribution Type	2025-26	2026-27
Concessional contributions cap	\$30,000	\$32,500
Non-concessional contributions cap	\$120,000	\$130,000
Potential bring-forward amount	Up to \$360,000 if eligible	Up to \$390,000 if eligible
General transfer balance cap	\$2.0 million	\$2.1 million

Eligibility to make non-concessional contributions and use the bring-forward rule depends on total superannuation balance, age and prior contribution history. This needs to be checked before any contribution is made.

Superannuation Structure

Accumulation Phase v Pension Phase

Mark, your superannuation has remained in accumulation phase, where investment earnings are generally taxed at up to 15%. As you retired at age 64 after age 60, you have met a full condition of release and can consider commencing an account-based pension.

Recommendation:

- Review commencement of pension phase for Mark after confirming current balances, transfer balance cap position and liquidity requirements.
- Time commencement with regard to the \$2.0 million general transfer balance cap applying before 1 July 2026.
- Ensure minimum pension withdrawals are made each year to preserve pension phase tax treatment.

Benefits

- Investment earnings in pension phase are generally tax free within transfer balance cap limits.
- Pension payments from taxed super funds are tax free from age 60.
- The strategy may improve long-term compounding and retirement income flexibility.

Pension Phase - Conditions of Release

In the case of a person who has reached age 60, the retirement condition of release with nil cashing restrictions is satisfied where an arrangement under which the member was gainfully employed has come to an end and the relevant retirement condition is met. Mark retired at age 64 and therefore satisfies the full condition of release. Jo has not reached preservation age and remains in part-time employment; her superannuation access position should be reviewed separately as she approaches preservation age.

Reversionary Pensions

When Mark commences an account-based pension, consideration should be given to whether the pension should be reversionary to Jo. This needs to be assessed alongside binding death benefit nominations, transfer balance cap rules and estate planning intentions.

Benefits:

- A reversionary pension may allow the surviving spouse to continue receiving the pension within the superannuation environment.
- Where either the deceased or recipient is over 60, pension payments from taxed super funds are generally tax free.

- It can provide continuity and administrative simplicity for the surviving spouse.

Risks:

- Transfer balance cap implications must be modelled for the surviving spouse.
- If death benefit pensions are commuted or paid out, there may be estate planning and tax consequences.
- Binding nominations and Will provisions must be aligned.

Tax Effective Strategies - Contributions into Superannuation

Concessional Superannuation Catch-Up Contributions

Because prior 30 June superannuation balances appear to have been **below \$500,000**, unused concessional cap amounts from the previous five financial years may be available. This should be confirmed directly from the ATO portal before implementation or with your accountant.

- The current year concessional cap must first be fully utilised before carry-forward amounts are used.
- Employer contributions appear to be approximately \$13,000, meaning approximately \$17,000 additional concessional contributions may be needed to reach the current year cap before using carry-forward amounts.
- Sequencing is critical, as older unused caps can expire if not used within the permitted five-year period.
- **Contribution timing should be integrated with the Rye property CGT strategy and Jo's income position.**

Recommendation:

- Confirm exact concessional contribution history via the ATO portal.
- Model contributions before 30 June and post 1 July where relevant.
- Coordinate deductible contributions with capital gains and taxable income levels.
- Confirm whether Div 293 tax may apply based on total income and concessional contributions.

Downsizer Contributions

Individuals aged **55 and over may be able to contribute up to \$300,000 each** from the sale proceeds of an eligible main residence, provided the legislative requirements are satisfied. This is distinct from the Rye property CGT planning and depends on whether the property sold qualifies as a main residence for downsizer purposes.

Recommendation:

- Review whether any future property sale qualifies for downsizer contribution treatment.
- Do not rely on downsizer contribution treatment for the Rye property unless eligibility has been confirmed.
- Consider downsizer contributions only in the context of total superannuation balances, transfer balance caps and broader estate planning objectives.
- Looks like Mark will qualify for this when & if you move from your current Principal place of residence. NOTE monies need to flow into Super within 90 days of receiving sale proceeds.

Non-Concessional Superannuation Contributions

Non-concessional contributions will become relevant after inheritance receipts are received. However, eligibility depends on total superannuation balance, age, previous bring-forward use and the applicable non-concessional cap.

Recommendation:

- Defer any major non-concessional contribution decision until inheritance timing and total superannuation balances are confirmed. This means you would look to move \$120K each into Super before June 30th.
- For 2025-26, the annual non-concessional cap is \$120,000, with a potential bring-forward amount of up to \$360,000 if eligible.
- Model contribution timing for Mark and Jo separately, as their ages, income and superannuation positions differ.

Summary Table of Contributions

Strategy	Mark	Jo	Comment
Catch-up concessional contributions	Review ATO carry-forward amounts	Review ATO carry-forward amounts	Current year cap must be used first
Non-concessional contributions	Consider after inheritance timing confirmed	Consider after inheritance timing confirmed	Subject to total super balance and eligibility
Downsizer contributions	Potentially available if eligible main residence sold	Potentially available if eligible main residence sold	Eligibility must be confirmed
Pension commencement	Recommended to model now	Not yet applicable	Mark has met condition of release

Inheritance, Family Trust and Estate Planning Strategy

A major focus of this advice is the expected inheritance. The staged distributions already received and expected future receipts require careful coordination with tax, superannuation, investment and estate planning structures.

Staged Inheritance Distributions

- Approximately 10% was distributed last year.
- A further 7.5% was distributed in June 2025.
- Approximately \$150,000 has been received recently.
- The balance is expected around June 2027.
- Indicative total family quarter share is approximately \$4.35 million.

Testamentary Trust Considerations

A major item is confirming whether the relevant Will allows testamentary trusts. If available, this may materially improve tax and asset protection outcomes, particularly for minor beneficiaries such as Eliza and Tom.

- Testamentary trusts may allow income distributions to minor beneficiaries to be taxed at adult marginal tax rates rather than penalty minor rates.
- They may provide flexibility, asset protection and long-term intergenerational planning benefits.
- The Will must be reviewed to confirm whether the structure is permitted, how long it can operate and who can act as trustee.
 - ***We are of the understanding that these provisions were not allowed for in the Will & hence you do not have this option available.***

Family Trust Planning Prior to 1 July 2026

Given the anticipated inheritance amount, consideration should be given to whether a family trust or company or other related investment structure is appropriate. This must be reviewed with your accountant and solicitor, particularly under the current tax legislation and any changes affecting trust distributions, capital gains and family group arrangements prior to 1 July 2026 AND post this date given the raft of potential tax changes having recently being announced in the budget.

Recommendations:

- Obtain and review the Will as soon as possible.
- Prepare a consolidated distribution schedule for all inheritance payments received and expected.
- Clarify CGT treatment of assets sold within the estate prior to distribution.
- Consider whether new family investment entities are appropriate before receiving the balance of the inheritance.
- Update your own Wills, powers of attorney and superannuation nominations.

Property and Capital Gains Tax Planning

Rye Property Strategy

The Rye property is estimated to be worth approximately \$1 million, with an estimated purchase cost of approximately \$500,000. This indicates a potential capital gain of approximately \$500,000 before any adjustments, costs or discounts.

Item	Approximate Amount
Estimated market value	\$1,000,000
Estimated cost base before adjustments	\$500,000
Indicative gross capital gain	\$500,000
Potential CGT discount	50% if eligibility requirements are met
Taxable capital gain before planning	To be modelled between Mark and Jo

Recommendation:

- Confirm ownership percentages and full cost base, including stamp duty, legal costs, improvements and selling costs.
- Model sale before and after 1 July, having regard to lower taxable income in the next financial year.
- Coordinate any taxable gain with deductible concessional contributions where available.
- Coordinate with your accountant & us before signing any sale contract.

Shares and Cost Base Clarity

Current shareholdings include inherited Commonwealth Bank & Westpac shares, Westpac shares and Jo's JB employee shares/options, including approximately 1,000 JB shares vesting in August 2026 with an estimated value of approximately \$80,000.

Recommendation:

- Confirm the cost base of inherited CBA & Westpac shares, including date of death valuation and dividend reinvestment plan adjustments.
- Review Jo's JB employee share scheme tax position before the August vesting event.

Current Superannuation Funds

Accumulation

Mark and Jo, you currently hold superannuation interests across the following known arrangements:

Member	Fund / Platform	Known Details
Mark	Equip Super	Approx. \$1.4 million
Jo	North platform	Approximate balance \$367,000 ; recent performance approximately 9%
Jo	Employer superannuation / JB related arrangements	To be confirmed from statements and employer contribution history

Before final implementation, current member statements, investment options, insurance arrangements, beneficiary nominations, fees and performance should be reviewed.

Investment Recommendations

Investments Within Superannuation

Your portfolio should be constructed on a balanced investor basis. This means the portfolio should seek capital growth and income while maintaining a meaningful allocation to defensive assets.

Example - Balanced Portfolio

Asset Class	Indicative Allocation
Australian Shares	27%
International Shares	29%
Fixed Interest	26%
Property	12%
Cash	6%
Total	100%

The existing North platform has performed well recently, with performance of approximately 9% against broad balanced benchmarks of approximately 6%-7%. However, platform suitability should not be assessed on performance alone. Fees, reporting, tax management, investment menu, adviser oversight and integration with future inheritance funds are all relevant.

Recommendation:

- Conduct biannual investment reviews.
- Compare Equip and North against an advised platform such as CFS if appropriate.
- Ensure future inheritance inflows are invested according to a written investment policy.
- Preserve sufficient liquidity while property, tax and family trust structures are being finalised.

Lending and Family Loan Arrangements

Your current facilities are priced around 5.74%, with annual facility fees of approximately \$300 and strong offset balances.

Recommendations:

- Negotiate rate reductions with the bank.
- Maintain full offset balances where possible.
- Review whether each facility remains necessary once inheritance proceeds are received.
- Document the funding arrangement for John and Olga's retirement unit, including the approximately \$500,000 advanced, repayment expectations and what happens on death or sale.

Children's Financial Foundations

We discussed early financial foundations for Eliza and Tom. While they are still young, good structures now can create meaningful long-term benefits.

- Consider annual superannuation contributions in future where **government co-contribution** eligibility may apply, subject to income thresholds and rules at the time.
- Once they are consistently employed, consider **income protection insurance while they are young and healthy**.
- In their late 20s, review life, TPD and trauma cover requirements based on debts, partners, children and income levels.
- Ensure estate planning structures protect rather than prematurely distribute assets to young beneficiaries.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$6,000 + GST. This fee covers the preparation of this strategy paper, review of the Will and guidance on the initial structuring issues discussed.

Ongoing Fee Disclosure

A separate ongoing advice and investment implementation fee may apply if you proceed to the next stage. This will depend on the amount invested, the platform selected and the level of ongoing service required. We typically charge up to 0.75% for investment advice; however, given the potential size of the investment pool, we will consider an appropriate capped fee arrangement.

Planning - Disclosure and Disclaimer

Disclosure Statement

To help you understand the full benefits, details and risks of any recommended products, please read the relevant Product Disclosure Statements that will be provided to you. Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you may have a cooling-off period in which to change your mind if you do not think the product meets your needs. Each Product Disclosure Statement explains the applicable cooling-off rights.

No guarantee

The investments we recommend must be appropriate for you. However, we do not guarantee they are the best available or that they will perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements.

Tax

There will be tax implications if you act on this advice. We recommend that your accountant or tax lawyer assess the impact on your short-term and long-term financial position before implementation, particularly in relation to family trusts, testamentary trusts, estate distributions, capital gains tax and employee share scheme tax.

Planning - Disclosure and Disclaimer

Are My Product Recommendations Restricted?

Yes. When making superannuation and non-superannuation product recommendations, we generally choose from Pareto Group's Approved Product List. If you have an existing product that is not on the APL, we may still provide advice about that product after conducting appropriate research.

What is My Responsibility to You?

We are responsible for providing you with a clear, concise and effective explanation of our recommendations. The recommendations are based on your goals, objectives, personal and financial situation and other information collected from you.

Do I Guarantee the Investments I have recommended?

No. By law, the investments recommended must be appropriate to you; however, we do not guarantee that any recommended investments will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives and designed an appropriate strategy that aims to accomplish these. It is important to appreciate that we live in an ever-changing world. Accordingly, legislation, taxation rules, investment markets, family circumstances and your own requirements may change over time.

Next steps

How to get started

- Read this Statement of Advice carefully.
- Confirm any factual errors or missing information.
- Provide the Will for review.
- Provide ATO portal information for contribution history.
- Provide CBA, Westpac and JB share records.
- Confirm employer superannuation contributions year to date.
- Confirm the inheritance distribution schedule.
- Confirm details of the John and Olga retirement unit repayment arrangement.
- Allow us to coordinate with your accountant and solicitor before implementation.

Finally

Mark and Jo, you are in a very strong financial position. The key challenge is to coordinate the tax, superannuation, inheritance, property, investment and estate planning decisions in the correct order. The next 12 to 24 months are important and should be managed carefully to maximise tax efficiency, protect capital and create strong outcomes for your family.

Appendix A - Supporting Information

Supporting information to be obtained and reviewed includes ATO contribution statements, current superannuation statements, Will and estate documents, inheritance distribution schedules, share portfolio cost base records, JB employee share scheme documents and property cost base information.